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Recycling with the Best

# Weekly Ship Recycling Report

24 February 2024 - 01 March 2024

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# Highlights of the week

The ship recycling markets across India, Bangladesh, Pakistan, and Turkiye are currently navigating through varying degrees of stagnation and cautious trading. In India, the market is experiencing a downturn with a significant drop in demand for vessels and scrap materials, signaling a market stagnation. Bangladesh's market mirrors last week's cautious sentiment, with low transaction volumes and a scarcity of deals, as recyclers struggle to find vessels at desired price points, and owners await higher offers. Pakistan sees a continued decline in demand, affected by the slowdown in the steel and construction sectors. Meanwhile, Turkiye's market is on a downward trajectory, with import prices falling by 10 USD, though efforts are being made to stabilize the market with expectations of further softening in prices soon. This collective snapshot underscores a period of adjustment across the major ship recycling destinations, reflecting broader economic challenges and sector-specific dynamics.

In January 2024, there was a 1.6% decrease in global steel production, totaling 148.1 million tons when compared to January 2023. Month-on-Month Comparison: Contrasting with December 2023, January 2024 witnessed a significant increase in steel production by 9.1%.

The forecast from energy research firm anticipates a notable surge in worldwide oil demand, projecting an increase of 1.9 million barrels per day (bpd) in 2024. This projection closely mirrors the estimates provided by the Organisation of the Petroleum Exporting Countries (OPEC) for the same period, highlighting a consensus among industry experts on the expected growth in global oil consumption.

## Exchange Rates:

**USD / INR ₹**

| | | |
|---|---|---|
| This Week | : | 82.86 |
| Previous Week | : | 82.84 |
| Lost | : | 0.02 |

**USD / BDT ৳**

| | | |
|---|---|---|
| This Week | : | 109.79 |
| Previous Week | : | 109.60 |
| Lost | : | 0.19 |

**USD / PKR Rs**

| | | |
|---|---|---|
| This Week | : | 279.24 |
| Previous Week | : | 279.37 |
| Gained | : | 0.13 |

**USD / TRY ₺**

| | | |
|---|---|---|
| This Week | : | 31.30 |
| Previous Week | : | 31.01 |
| Lost | : | 0.29 |

# India

*Market confronts downturn amidst demand stagnation for vessels and scrap materials.*

- The ship recycling market is currently experiencing a downturn, with conditions significantly deviating from those observed in the previous week.
- Presently, there is an absence of demand for both vessels and scrap materials, indicating a stagnation within the market.
- The impending elections are identified as a potential influence on market conditions, with the exact impact yet to be determined.
- The IMF executive highlighted that India stands as the world's fastest-growing economy, with its third-quarter GDP growth surpassing analysts' expectations. The economy expanded by 8.4%, marking the quickest growth in six quarters.

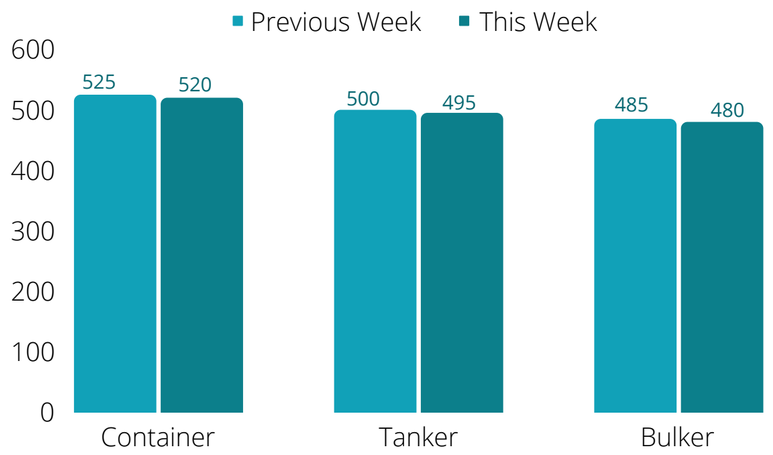
## Beaching Dates

08 March to 15 March 2024

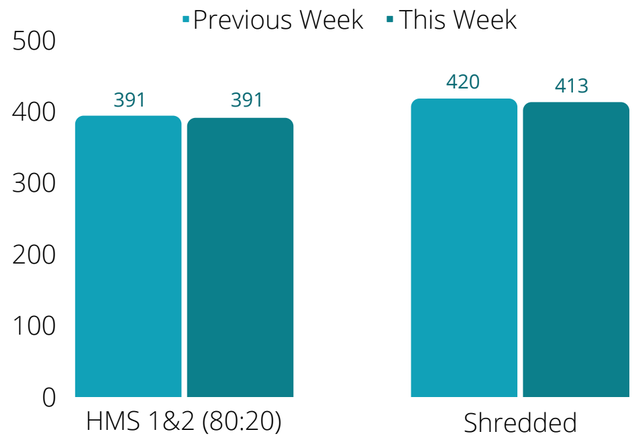
26 March to 30 March 2024

06 April to 13 April 2024

## Price for Recycling Ships in India




## Price of HMS 1&2 (80:20) and Shredded



# Bangladesh

*Market stagnates amid continuation of trends and cautious stakeholder approaches.*

- The sentiment within the ship recycling market this week mirrors the mood observed in the previous week, showing a continuation of trends and attitudes among market participants.

- Activity has stagnated, with low transaction volumes and very few deals being finalized, suggesting a cautious approach by stakeholders.

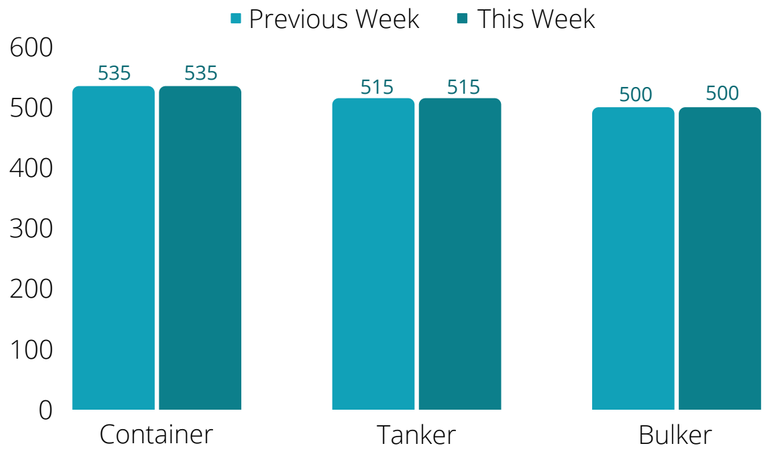
- Recyclers are actively seeking vessels that align with local market valuations but are finding limited availability within their desired price range. Vessel owners are holding out for higher price points, contributing to the stagnation in deal closures.

- Bangladesh's bank loan interest rate rose to 13.11% following an increase in the Six-Month Moving Average Rate of Treasury Bill (SMART), despite the Bangladesh Bank reducing the interest margin by 25 basis points to 3.50% from 3.75%."

## Beaching Dates

11 March  to14 March 2024
25 March to 28 March 2024
08 April to 11 April 2024

## Price for Recycling Ships in Bangladesh

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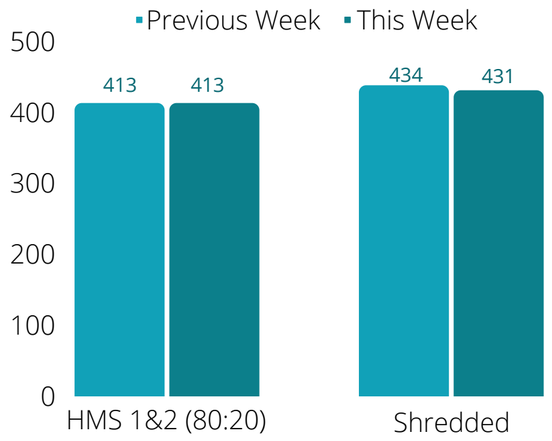
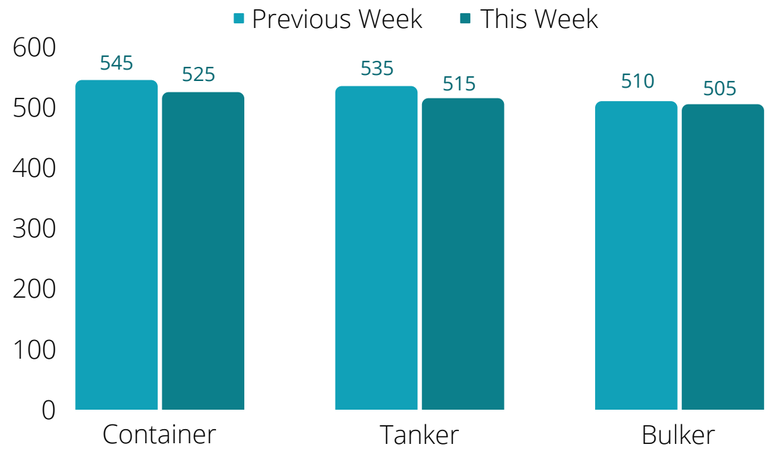


# Pakistan

*Market subdued with continued slowdown amid rising construction costs in pakistan.*

- This week's ship recycling market remains subdued, highlights a continued slowdown in demand for end products, mirroring last week's trends due to decreased activity in the steel and construction sectors.
- In Pakistan, construction costs have escalated due to a surge in steel prices and a sharp increase in the price of most construction materials, exacerbated by ongoing economic challenges and persistent delays in shipment arrivals.
- China extends a $2 billion loan to Pakistan for an additional year, confirms Caretaker Finance Minister

## Price for Recycling Ships in Pakistan

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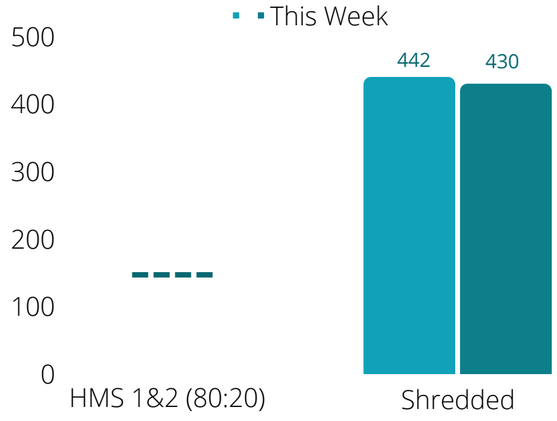



## Beaching Dates

Throughout the month

# Türkiye

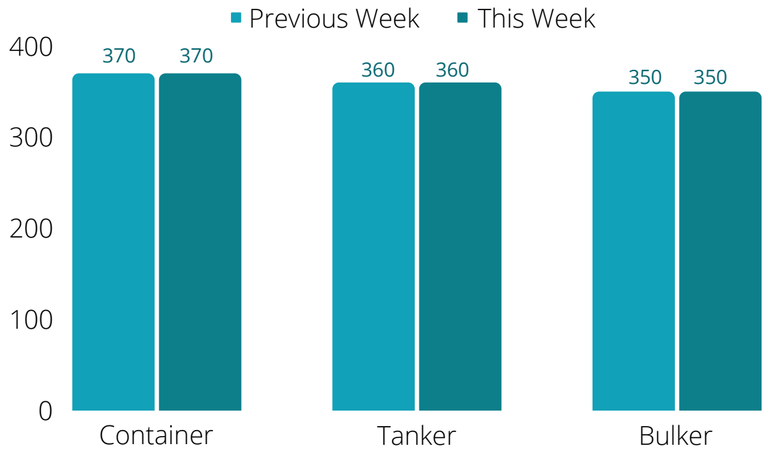
*Turkish Ship Recycling and Steel Export Markets Face Decline Amid Lira Depreciation.*

- The Turkish ship recycling market is currently experiencing a downward trend. Import prices have decreased by 10 USD, indicating a softening in the market.
- Despite the decline in import prices, the local market is making efforts to maintain stability.
- Expectations indicate that the local market is likely to witness a decrease in prices during the early stages of the upcoming week.
- Turkey's economy, valued at $1.1 trillion, expanded at a rate significantly exceeding expectations, successfully evading a downturn over a period of two quarters. This period coincided with the central bank implementing the majority of its substantial interest rate increases.

## Beaching Dates

Throughout the month

## Price for Recycling Ships in Türkiye

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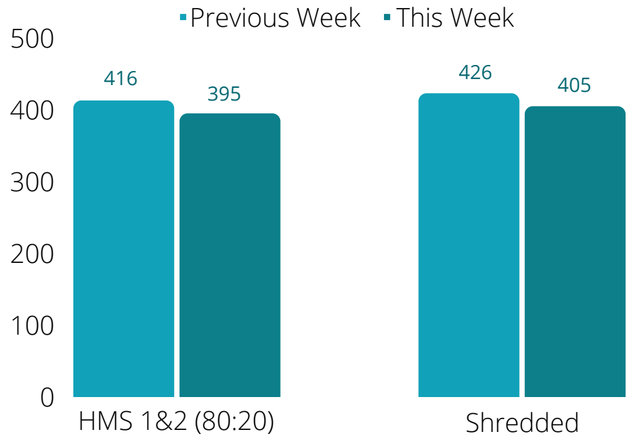
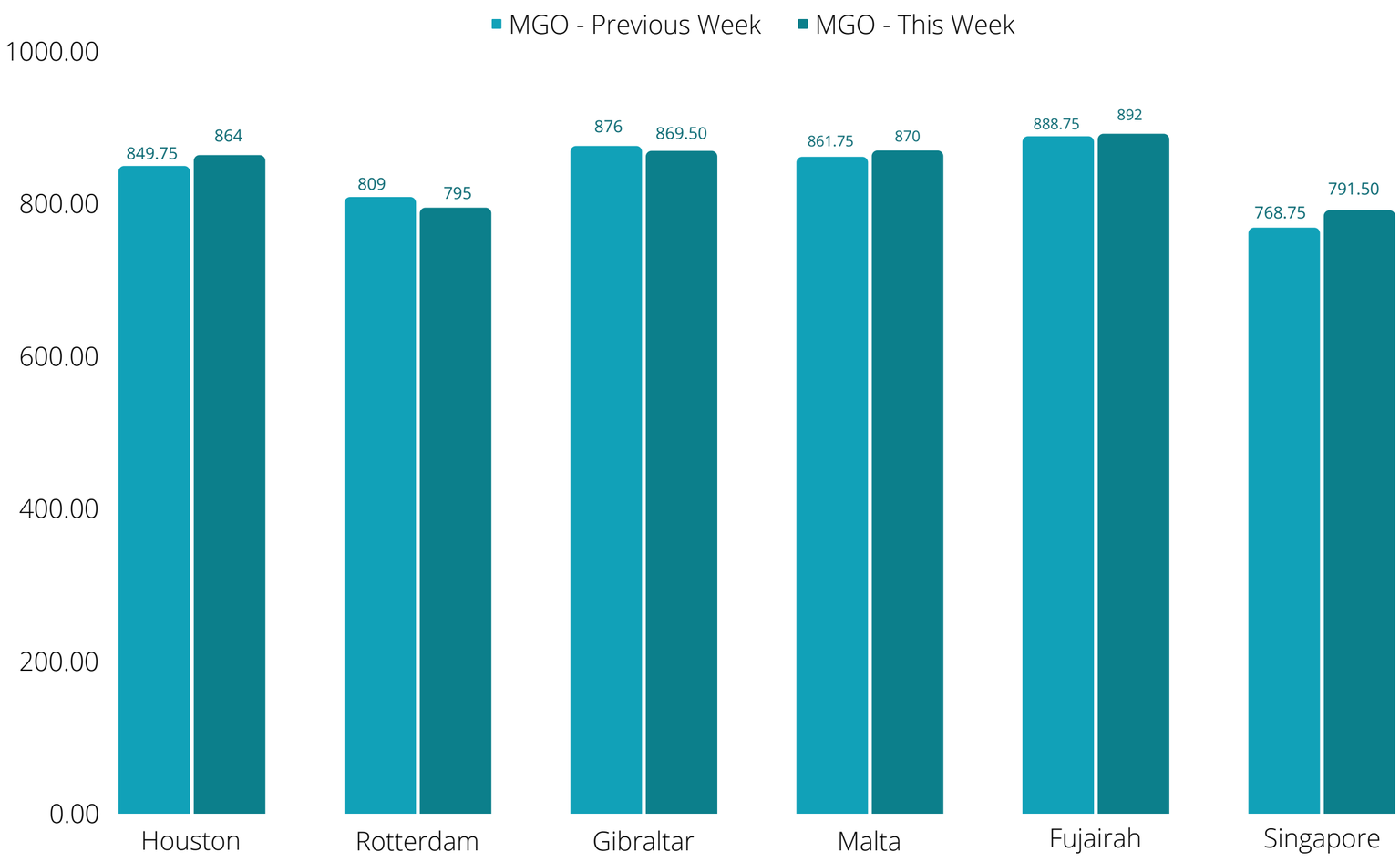


# Bunker Prices at Port




## Brent Crude

| | |
|---|---|
| This Week | : 82.71 |
| Previous Week | : 83.22 |
| Movement | : - 0.51 |

## WTI Crude

| | |
|---|---|
| This Week | : 79.06 |
| Previous Week | : 78.12 |
| Movement | : + 0.94 |

# List of Vessels Sold this Week

| VESSEL NAME | TYPE OF VESSEL | IMO NO. | YEAR OF BUILD | COUNTRY OF BUILD | LDT | TERM OF SALE | LOCATION OF DELIVERY | SALE PRICE/LDT (USD) |
|---|---|---|---|---|---|---|---|---|
| QATAR ANA | BULKER | 8901808 | 1989 | JAPAN | 8,015 | DELIVERED | GADANI, PAKISTAN | 509 |
| KAPTAN HASAN ONAL | MPP | 9539559 | 2009 | CHINA | 3,104 | AS - IS | GOA, INDIA | 351 |
| EL YOUSSEF | MPP | 7422049 | 1975 | GERMANY | 1.995 | DELIVERED | ALIAGA, TURKIYE | UNDISCLOSED |
| WANG HAI | BULKER | 9255012 | 2003 | CHINA | 23,038 | DELIVERED | GADANI, PAKISTAN | UNDISCLOSED |
| AVATAR | RO-RO CARGO | 8314586 | 1983 | GERMANY | 8,920 | AS - IS | BATAM | UNDISCLOSED |
| HONG YUAN 01 | CONTAINER | 9102734 | 1996 | GERMANY | 11,486 | DELIVERED | CHITTAGONG,BANGLADESH | 540 |
| OSCAR 1 | GENERAL CARGO | 7922934 | 1981 | TURKIYE | 1,010 | DELIVERED | ALANG, INDIA | 475 |
| ALJAMIL | GENERAL CARGO | 7610270 | 1977 | JAPAN | 2,127 | DELIVERED | ALANG, INDIA | 480 |
| KELSIE | CHEMICAL/PRODUCT TANKER | 9016923 | 1994 | BELGIUM | 3,535 | AS - IS | BATAM | 865 |
| ASIA CEMENT NO. 1 | CEMENT CARRIER | 8025848 | 1980 | CHINA | 2,234 | AS - IS | TAIWAN | UNDISCLOSED |

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